

Design and Implementation of a Token-NFT-Liquidity Smart Contract Suite

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Abstract—Smart contracts allow the creation of applications that run on the blockchain. We aim to present a suite of smart contracts designed to manage NFT (Non-Fungible Token) auctions using a custom token called SapiCoin. We have deployed the auction on the blockchain that utilizes SapiCoin, and to obtain SapiCoin in order to participate in the auction, we have created a Liquidity Pool that enables the exchange of Ether for SapiCoin.

```
contract SapiCoin is ERC20 {  
    /* implementation */  
}
```

Fig. 1. Polymorphism on Solidity

I. INTRODUCTION

From a programming perspective, Smart Contracts can be seen as classes in traditional programming languages such as Java.

To create a Token, one must therefore define a class that represents the Token and manages transactions involving that currency.

Other smart contracts (e.g., an auction) can use Tokens as a means of payment within the contract itself.

However, to avoid binding a smart contract to a specific Token and to promote code reusability, the concept of a Token can be abstracted.

The Ethereum community standardized this abstraction through a document known as ERC-20. [5]

A Token is therefore represented by an Interface (a concept similar to those found in other programming languages).

A smart contract that aims to function as a Token must extend this interface and implement its methods.

The same concept is applied to NFTs, standardized through ERC-721. [2]

In contrast, there is no community standard for auctions, so the design of such smart contracts must be created from scratch.

In addition to token transfers and auctions, our system includes a liquidity pool implemented using Uniswap v3, which allows users to trade between Ether and SapiCoin.

II. TOKEN

ERC-20 is the standard that represents a token on EVM-compatible blockchains.

There is no central authority responsible for issuing these standards; instead, communities such as Ethereum Magicians provide a space to discuss improvements to the Ethereum standard through EIPs [4].

The standard requires that a token is a smart contract implementing a specific set of methods.

A. Polymorphism in the EVM

Achieving this requires polymorphism.

The Ethereum Virtual Machine does not provide instructions for handling abstract classes, but the VM itself is polymorphic.

When a method of a smart contract is invoked through a transaction, the memory address of the method is accessed by computing the hash of the function signature.

If the invoked method does not exist, a default fallback function is executed (which can be overridden).

Thanks to this behavior of the EVM, it is possible to implement any standard.

If we want to implement a contract that manages an NFT auction, it will call the functions whose signature hashes match those defined by the ERC-20 standard.

B. Design of the standard ERC-20

A smart contract can be viewed as a class. [3]

Programming languages such as Solidity allow us to express the idea of an interface. This means we can constrain a smart contract to include the methods required by a standard by inheriting the abstract methods of an interface, as shown in Fig. 1.

Of course, this is purely syntactic sugar, because the EVM itself is already polymorphic; in fact, inheritance can even be omitted.

Figure 2 shows an overview of the ERC-20 standard.

The ERC-20 standard requires a token to implement the following methods:

- 1) **balanceOf(address owner)** returns the amount of tokens owned by a given address.
- 2) **transfer(address to, uint256 value)** allows sending tokens to a specific address (the `to` parameter).
- 3) **approve(address spender, uint256 value)** allows an address (the `spender`) to spend a certain amount of tokens owned by the address that submits the transaction.
- 4) **transferFrom(address from, address to, uint256 value)** allows transferring a specified amount of to-

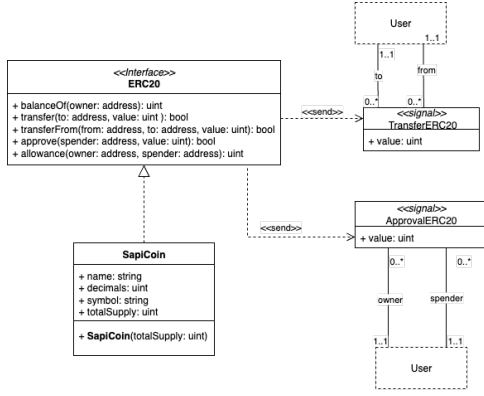


Fig. 2. UML Class Diagram of a Token.

```

1 event Transfer(address indexed _from, address
2 indexed _to, uint256 _value);
event Approval(address indexed _owner, address
indexed _spender, uint256 _value);

```

Fig. 3. Events on Solidity

kens (value) from one address (the token owner, not necessarily the transaction sender) to another address. Obviously, it must not be possible for someone without permission to spend our tokens; therefore, the sender must have been granted approval (via the approve method).

- 5) **allowance(address owner, address spender)** returns how many tokens an owner has approved for a given spender.

The entire approval mechanism is very useful from a programming perspective.

Users can call `approve` on a given smart contract for a specified amount of tokens.

In this way, a smart contract can use our tokens to provide a service.

ERC-20 also defines a set of events that a token should emit whenever the contract's internal state changes, so that the operations executed within a smart contract can be tracked and displayed by front-end applications such as Etherscan.

C. Events

Figure 2 describes the various events emitted asynchronously by ERC-20, specifically:

- 1) **Transfer**, which tracks token transfers between users.
- 2) **Approval**, which tracks approvals from an owner to a spender.

Solidity provides a construct to represent these events, as shown in Fig. 3.

D. SapiCoin Implementation

To implement a specific token, in our case SapiCoin, there is no additional logic beyond being a token. If we wanted to implement a stablecoin or a wrapped coin, we would need

to add methods to manage the exchange of the token with the real-world currency it represents (for example, USDT or WETH).

The implementation of the other standard token functionalities is easily available online (in some cases, they are embedded in Solidity development environments).

The only aspects modified are the token's "vanity" features, namely the token's name, the number of decimals the token uses (in our case 18 decimals), and the token symbol (SAC).

With 18 decimals, the smallest amount of SapiCoin that can be obtained is $1 \cdot 10^{-18}$.

However, being just a vanity feature, at a low level we only have access to a 256-bit unsigned integer.

For example, 4 SapiCoin in memory is stored as $4 \cdot 10^{18}$.

III. NFTs

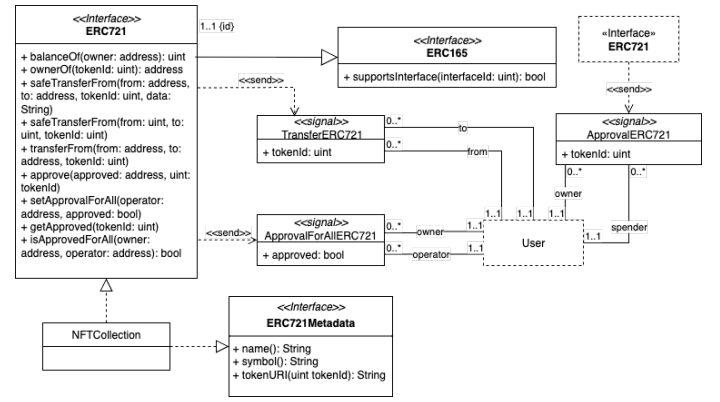


Fig. 4. UML Class Diagram of a NFT.

According to the standard, every ERC-721 compliant contract must implement the ERC721 and ERC165 interfaces, as shown in Figure 4.

A. ERC-165 Standard

The ERC-165 standard defines a mechanism to declare and verify whether a contract implements a specific interface. In other words, it allows other contracts to query a contract and determine if it supports a certain functionality (e.g., ERC-721, ERC-20, etc.).

supportsInterface(bytes4 interfaceID): allows checking whether the contract implements the interface identified by `interfaceID`. Returns `true` if the interface is supported, and `false` otherwise.

B. ERC-721 Standard

The ERC-721 interface defines the standard for NFTs. Each token is unique and distinct, unlike ERC-20 tokens which are fungible (all identical). The functions to implement are:

- 1) **balanceOf(address owner):** returns the number of NFTs owned by a given address.
- 2) **ownerOf(uint256 tokenId):** returns the address of the owner of the token identified by `tokenId`.
- 3) **safeTransferFrom(address from, address to, uint256 tokenId, bytes data):** safely transfers ownership of an

NFT from one address to another. If the recipient is a contract, the function `onERC721Received` is called to verify that it can receive NFTs. For the purposes of this project, we ignored this case, and the auction contract does not implement `onERC721Received`. It throws an error if:

- `msg.sender` is not the owner or an authorized operator;
- `from` is not the current owner;
- `to` is the zero address;
- the token does not exist.

- 4) **`safeTransferFrom(address from, address to, uint256 tokenId)`**: identical to the previous function but without the additional `data` parameter (set to an empty string).
- 5) **`transferFrom(address from, address to, uint256 tokenId)`**: transfers ownership of an NFT without performing additional checks on the recipient's ability to handle it. It is the caller's responsibility to ensure that `to` can handle NFTs. Throws errors under the same conditions as `safeTransferFrom`.
- 6) **`approve(address approved, uint256 tokenId)`**: allows the owner to approve another address (`approved`) to transfer the specified token (`tokenId`). Passing the zero address removes any existing approval.
- 7) **`setApprovalForAll(address operator, bool approved)`**: allows a user to enable or disable an operator that can manage all of their NFTs. Emits the `ApprovalForAll` event and allows multiple operators per owner.
- 8) **`getApproved(uint256 tokenId)`**: returns the address approved to manage a specific token. Returns the zero address if no address is approved. Throws an error if the token is invalid.
- 9) **`isApprovedForAll(address owner, address operator)`**: checks if an operator has been approved to manage all tokens of a given owner. Returns `true` if authorized, `false` otherwise.

Like ERC-20, contracts implementing ERC-721 should emit the following events:

- 1) **`Transfer(address indexed from, address indexed to, uint256 indexed tokenId)`**: emitted whenever ownership of an NFT changes, whether by transfer, creation (`from == 0`), or destruction (`to == 0`). When a transfer occurs, any approved address for that token is automatically cleared.
- 2) **`Approval(address indexed owner, address indexed approved, uint256 indexed tokenId)`**: emitted when an approved address is set or removed for a specific NFT. The zero address indicates that no approved address exists for that token.
- 3) **`ApprovalForAll(address indexed owner, address indexed operator, bool approved)`**: emitted when an owner enables or disables an operator to manage all their NFTs. The operator can then perform transfers or approvals on behalf of the owner.

C. Optional Metadata and Vanity

Extending the `ERC721Metadata` interface is not mandatory for the ERC-721 standard; it is used solely to add vanity features to NFTs.

Through this interface, we can obtain the name of the NFT collection, the collection symbol, and, via the **`tokenURI(uint256 tokenId)`** method, the URL associated with the NFT.

This link can point to the image that the NFT represents or to other related information.

The functionalities included depend heavily on what we want to incorporate into our NFT, but the underlying architecture of NFTs remains the same.

Indeed, for the ERC-721 standard, just like for ERC-20, there are many reusable implementations available for our collection.

For the purpose of this project, we created an NFT for the image in Figure 5.



Fig. 5. Image associated with the NFT we minted

IV. AUCTION

There is no standard for NFT auctions, so creating one requires using other strategies.

For example, one can use an auction system with contracts already deployed on the blockchain and create an auction through that system. This way, every user of the system can access your auction, for instance via OpenSea.

Alternatively, one can manually create the auction smart contract and deploy it on the blockchain.

With the second approach, the drawback is that there is no front-end application to interact with the service. However, it is possible to publish the contract on Etherscan so that, by connecting a wallet (such as MetaMask), users can interact with the smart contract directly through a web browser.

Unfortunately, the main NFT marketplaces have removed their support for testnet blockchains, so we opted to implement it from scratch.

A. Design of Auction

The goal of the auction we designed is to create a smart contract that is reusable with any type of token and any NFT collection.

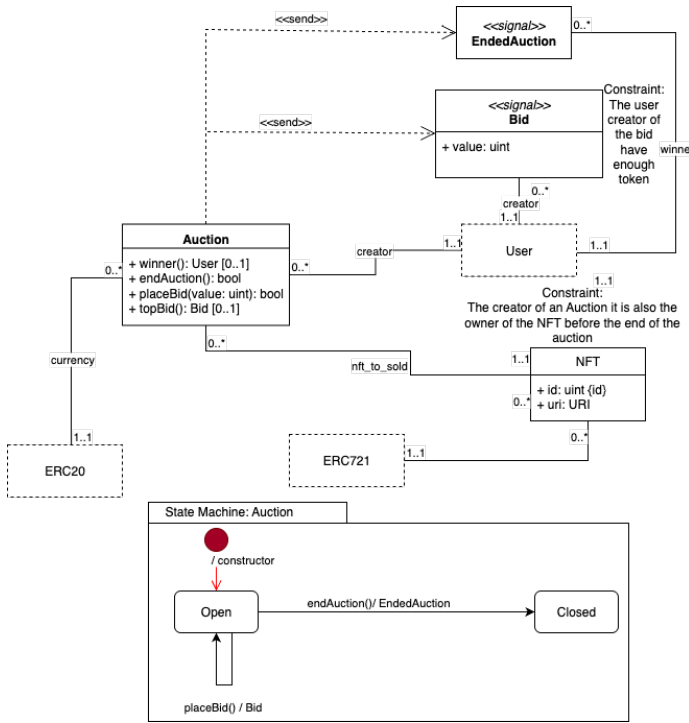


Fig. 6. UML of a Auction

Here is a description of the auction methods:

- 1) **Winner()**: Returns the address that has placed the highest bid at the moment the method is called. The address is zero if no bids have been placed yet.
- 2) **topBid()**: Returns the address that has placed the highest bid along with the bid amount at the moment the method is called. Both the address and the bid value are zero if no bids have been placed yet.
- 3) **placeBid(uint256 value)**: Allows placing a bid in the auction. To execute this method, the auction must first be approved to transfer your tokens. When `placeBid` is executed, the auction takes the tokens specified in the `value` field and transfers them to itself. It is recommended to approve the auction to transfer an unlimited number of tokens so that each bid placement does not require two transactions. If a bid has already been placed, the value is added to the existing bid.
- 4) **endAuction()**: Allows only the creator of the auction to close it. Once the auction is closed, no further bids can be placed. The winner receives the NFT (before calling this method, the auction creator must approve the token transfer), and the creator receives the tokens. All other bidders are refunded.

B. Events

Events are emitted for every change in the smart contract's state, as shown in Figure 6.

Specifically, the events are:

- 1) **Bid(uint256 value, address indexed creator)**: Emitted every time a bid is placed.

- 2) **endedAuction(address indexed winner)**: Emitted when the auction is closed.

V. IMPLEMENTATION DETAILS

Solidity, a differenza dei linguaggi di programmazione tradizionali, introducono vincoli aggiuntivi legati al gas, alla sicurezza e alla gestione delle transazioni.

Diffatti è possibile utilizzare questi tool per comunicare direttamente con la blockchain, ergo effettuare transazioni, fare il deploy di smart contract e pubblicare il codice sorgente dei contratti su servizi come etherscan.

Un'altro vincolo importante che aggiunge solidity è che una volta fatto il deploy sulla blockchain non è possibile modificarlo, dato che pubblicare smart contract può avere importanti costi di deploy è fondamentale essere sicuri della correttezza del codice. Quindi il testing è fondamentale, oppure la verifica formale del codice, ovvero che i requisiti (visti come invarianti del sistema) siano soddisfatti.

Per verificare la correttezza del codice è possibile usare la logica (Firts Order Logic, Hoer Logic) per dimostrare formalmente proprietà nel nostro codice. Oppure fare fuzzing testing, ergo definire le invarianti e poi chiamare i vari metodi di uno smart contract con input a caso fino a quando le invarianti non vengono confutate.

Esistono molti ambienti di sviluppo per solidity. Noi abbiamo implementato gli smart contract presentati in questo progetto con Foundry, ma uno dei più famosi è OpenZeppelin.

A. OpenZeppelin

OpenZeppelin è uno dei framework più famosi per lavorare su solidity.

Per creare Token ERC-20 o ERC-721 esistono dei costrutti per poterli implementare con pochissime righe di codice.

Se il Token richiede altra logica (per esempio per creare un Wrapped Coin) è possibile aggiungere metodi oltre ai costrutti già definiti.

In figura 7 è possibile vedere l'implementazione dei smart contract per implementare ERC-20 e ERC-721.

Tuttavia non abbiamo scelto questo tool per creare i nostri smart contract poiché OpenZeppelin è basato su JavaScript rendendo difficile lavorare con le dipendenze che introduce NodeJS.

B. Foundry

Foundry introduce un intero ecosistema per lavorare sulle blockchain EVM compatibili.

Foundry è composto da 3 elementi:

- 1) `forge` permette di compilare, testare, debuggare, deployare e verificare smart contracts.
- 2) `anvil` permette di istanziare un nodo di sviluppo della blockchain, facendo una fork della mainnet.
- 3) `cast` is a swiss army knife for interacting with onchain applications from the command line.

```

1 pragma solidity ^0.8.0;
2
3 import "@openzeppelin/contracts/token/ERC20/ERC20.
  sol";
4
5 contract SapiCoin is ERC20 {
6     constructor(uint256 initialSupply) ERC20("
  SapiCoin", "SAC") {
7         _mint(msg.sender, initialSupply);
8     }
9 }
10
11 // SPDX-License-Identifier: MIT
12 pragma solidity ^0.8.0;
13
14 import "@openzeppelin/contracts/token/ERC721/
  extensions/ERC721URIStorage.sol";
15
16 contract NFTCollection is ERC721URIStorage {
17     constructor() ERC721("ClimbingOnTrees", "COT") {
18     }
19 }

```

Fig. 7. Implementation of ERC-20 and ERC-721

C. Verifica dei requisiti

VI. LIQUIDITY POOL

As the creators of the SapiCoin token, we initially hold the entire token supply. Consequently, without additional mechanisms, the only way to distribute SapiCoin to users would be to send them manually to those who request them. This approach is not scalable and does not allow users to obtain tokens autonomously.

To automate distribution and, more importantly, to create a real market between SapiCoin and Ether, we introduced an Automated Market Maker (AMM). AMMs are protocols that allow users to swap tokens without the need for a direct counterparty.

For this project, we used Uniswap v3 [1], one of the most advanced and efficient AMMs. Uniswap v3 allows the creation of liquidity pools between SapiCoin and Ether. By depositing an initial amount of both tokens, an initial market price for SapiCoin is established. From that point onward, anyone can buy or sell SapiCoin against Ether, and the protocol automatically updates the price based on the AMM formula and the available liquidity.

In fiat currencies, central banks (e.g., the European Central Bank) determine the exchange rate. In DeFi currencies, this is not possible because we operate in a distributed system.

Uniswap v3 uses the Constant Product Formula to determine the exchange rate:

$$x \cdot y = k \quad (1)$$

Here, x and y are the amounts of the two tokens available for swapping, and k is the invariant of the system. We can freely change the values of x and y as long as k remains constant.

Therefore, the exchange rate of token x in exchange for y is $\frac{x}{y}$.

Those who provide liquidity are called investors, creating positions in the liquidity pool. Investors provide liquidity to earn a return. This return comes from fees. Depending on the amount of liquidity contributed to the pool, each investor receives a percentage of the fees collected.

The liquidity within a liquidity pool is calculated as:

$$L = \sqrt{k} = \sqrt{x \cdot y} \quad (2)$$

For each investor, the amount of liquidity invested in their positions is recorded. When an investor contributes, their position is represented by an NFT.

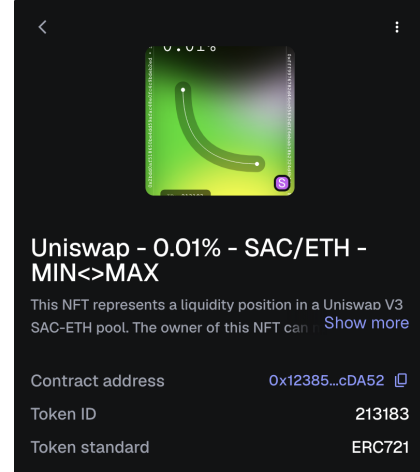


Fig. 8. NFT of a liquidity position in Uniswap v3.

This allows investors to sell or trade their liquidity positions.

VII. CONCLUSION

We have designed and implemented a complete suite of smart contracts that interact through well-established Ethereum standards. The Token contract follows the ERC-20 specification and provides a fungible currency (SapiCoin) used as the medium of exchange within the system. The NFT contract adheres to the ERC-721 standard and defines unique assets that can be auctioned. Finally, the Auction and Liquidity Pool contracts coordinate token transfers, NFT ownership changes, and Ether-SapiCoin conversion.

The architecture demonstrates how interoperability on Ethereum naturally emerges from interface-based design and the polymorphic behavior of the EVM. Each component is independent yet composable, enabling reuse, modular upgrades, and clear separation of concerns. The Liquidity Pool offers an automated mechanism to acquire SapiCoin, removing the need for manual token distribution, while the Auction contract provides a programmable marketplace for NFTs.

Overall, the system shows how standardized interfaces (ERC-20, ERC-165, ERC-721) combined with custom logic make it possible to build decentralized applications where multiple contracts cooperate reliably without central authority.

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